

Prompt 3: read the footnotes

Hertz Global Holdings, annual report for the year ended 31 December 2013, read as it stood in March 2014. Prompt version 2.15, run 4 October 2026. Test output: a real company used for testing only.

1. Policy profile

Area	What the report says	Where it sits	Why
1. Revenue recognition	"recognized over the period the revenue earning equipment is rented" (p. 90)	Typical	Booked over the rental period, normal for a rental business (general practice).
2. Reserves and allowances	"relatively minor adjustments to our recorded liability" (p. 45)	Can't tell	No roll-forward for the \$347.7m self-insurance reserve, so the claim cannot be tested; the bad-debt allowance is 0.76 of the year's write-offs.
3. Capitalized costs and useful lives	U.S. rate changes gave "net decreases of \$44.2 million" in depreciation (p. 126)	Leans aggressive	Rates were lowered in the year U.S. car disposals moved to a \$48.2m net loss.
4. Impairment and goodwill	"no impairment existed" (p. 94)	Can't tell	No headroom is given for goodwill and unamortized trade names of \$4,677.5m, 169% of equity.
5. Off the balance sheet	Leases and concessions shown at "minimum non-cancelable terms" (p. 70)	Typical	Lease minimums (\$2,727.7m) and purchase obligations (\$4,757.6m) carry amounts; Note 10 adds up to the table.
6. Related parties	"none of our outstanding debt at December 31, 2013 was with related parties" (p. 148)	Typical	The Sponsors sold out in 2013; what remains is small and disclosed.
7. Contingencies	A judgment "could potentially exceed \$40.0 million" (p. 137)	Leans aggressive	A possible loss of 6.0% of pre-tax income is called not material and the amount accrued is not given.
8. Auditor's report and controls	"effective internal control over financial reporting" (p. 74)	Leans aggressive	Clean opinion and no material weakness, in a year that corrected \$46.3m of errors.
9. Adjusted measures	Leaves out "certain one-time charges and nonoperational items" (p. 50)	Leans aggressive	Restructuring is left out in all three years; exclusions total 73.9% of pre-tax income.

2. Full write-ups

Adjusted measures: costs called one-time recur every year

- **The report says:** adjusted pre-tax income (company-wide) leaves out "certain one-time charges and nonoperational items" (Item 7, footnote (c), p. 50).
- **Test:** the claim does not hold for restructuring, charged at \$77.0m, \$38.0m and \$56.4m in 2013, 2012 and 2011 and \$645.4m since 2007 (Note 14, p. 140). Size: restructuring and related charges of \$98.8m are 14.9% of 2013 pre-tax income (\$663.1m); all exclusions, \$490.1m, are 73.9%.
- **Reading:** most likely the reporting stretched: a cost charged in every year shown is presented as outside operations. A year with no restructuring, integration or relocation charge would point to an ordinary reading.
- **Read next:** the 2014 quarterly reports; the report itself expects "\$40 million to \$45 million" more of relocation cost (p. 65).

Depreciation: U.S. rates cut while U.S. car sales turned to losses

- **The report says:** rate cuts lowered U.S. depreciation by \$44.2m and were "indicative of the residual values experienced in the U.S." (Note 8, p. 126).
- **Test:** contradicted in the same note: U.S. vehicle disposals gave net losses of \$48.2m in 2013 after net gains of \$100.6m in 2012, from "declining residual values" (p. 126). The claim that U.S. "monthly per vehicle depreciation costs decreased" (p. 42) holds only if the 21,500 leased cars are counted (\$216 a month against \$218, -1.1%); on company-operated cars it rose 3.1% (\$226 against \$219). Size: \$44.2m is 6.7% of pre-tax income, a change in estimate; with the disposal loss, 13.9%.

- **Reading:** possibly the reporting stretched, since lower rates leave more book value to lose on sale when used-car prices fall. Disposal gains returning in 2014 with no rate increase would point to an ordinary reading.
- **Read next:** disposal gains or losses and rate changes by quarter in the 2014 reports.

Controls: rated effective in a year that corrected \$46.3m of errors

- **The report says:** the company "maintained, in all material respects, effective internal control over financial reporting" (auditor's report, p. 74).
- **Test:** hard to square with Note 2: \$46.3m of errors found in the fourth quarter, \$34.7m from 2012 and earlier, where "correcting these errors in the fourth quarter would have been material to the fourth quarter" (p. 83); a debt requirement was also "unknowingly not met" at year end (p. 108). The 2011 error is 5.8% of that year's pre-tax income as first reported, yet called not material. Size: \$46.3m is 7.0% of 2013 pre-tax income, a net reduction of income from corrections.
- **Reading:** can't tell: prior years may be revised for immaterial errors without a material weakness (general practice), but errors in three areas across four years possibly mean controls were weaker than stated. A single cause since fixed would point to an ordinary reading.
- **Read next:** the first-quarter 2014 report, for further revisions or a changed controls conclusion.

3. Also noted

- The Nevada class action could bring a judgment over \$40.0m, yet the report says the outcome "will not be material" and gives no accrual (p. 137).
- A shareholder class action filed in November 2013 over the company's 2013 disclosures seeks "an unspecified amount" (p. 138).
- The bad-debt provision is \$45.9m in the cash flow statement (p. 80) and \$41.9m in Schedule II (p. 158); the \$4.0m gap is not explained, and matches the gap between the \$40.0m vehicle impairment (p. 80) and the \$44.0m "Impairment charges and other" (p. 50).

4. Not in the documents: critical audit matters (the auditor's report has none), receivables sold or factored, supplier finance, amounts earned but not yet billed, the amount of interest capitalized, and Item 13 on related parties.

Items to check, not findings. Every figure was calculated in code from the attached documents; the code is available on request.